

09:00 AM

23-CIV-04084

SYLVIA ALVAREZ-LYNCH VS. MARK LAWRENCE CELLA, ET AL.

LINE 3

SYLVIA ALVAREZ-LYNCH
MARK LAWRENCE CELLA

SARA M. PETERS
MICHAEL J. DALEY

DEFENDANT CHU MANAGEMENT, INC'S MOTION FOR GOOD FAITH SETTLEMENT

TENTATIVE RULING:

Initially, the Court notes that Applicant has not provided the address for the hearing. Department 20 is located at the Northern Courthouse, Courtroom L, 1050 Mission Road, South San Francisco, CA 94080. (See Cal. Rules of Court, Rule 3.1110 [the Notice "must specify" the location of the hearing].)

Defendant and Cross-defendant Chu Management, Inc.'s Application for Determination of Good Faith Settlement is DENIED WITHOUT PREJUDICE.

Defendant and Cross-defendant Chu Management, Inc. ("Chu") seeks an order finding its settlement with Plaintiff Sylvia Alvarez-Lynch to have been made in good faith, discharging it from liability for claims for equitable indemnity or contribution, and dismissing and barring all cross-complaints filed and to be filed against it. Defendant and Cross-complainant Grocery Outlet, Inc. ("GOI") opposes.

A. Legal Standard on Application to Determine Good Faith Settlement

The Court determines whether a settlement was made in good faith pursuant to Code of Civil Procedure section 877.6. A determination that the settlement was made in good faith bars "any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault." (Code Civ. Proc., § 877.6, subd. (c).) "The party asserting the lack of good faith shall have the burden of proof on that issue." (*Id.*, § 877.6, subd. (d).) More specifically:

Any party to an action in which it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff or other claimant and one or more alleged tortfeasors or co-obligors[.]

(Code of Civ. Proc., § 877.6, subd. (a)(1).)

[T]he intent and policies underlying section 877.6 require that a number of factors be taken into account including a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling

defendants. [Citation.] Finally, practical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement. A defendant's settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant's liability to be. [Citation.] The party asserting the lack of good faith, who has the burden of proof on that issue [citation], should be permitted to demonstrate, if he can, that the settlement is so far "out of the ballpark" in relation to these factors as to be inconsistent with the equitable objectives of the statute. Such a demonstration would establish that the proposed settlement was not a "settlement made in good faith" within the terms of section 877.6.

(*Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, 499–500 [quotation marks omitted] (*Tech-Bilt*)).

While "[t]he *Tech-Bilt* factors are nonexhaustive and may not apply in all cases" (*Dole Food Co., Inc. v. Sup. Ct.* (2015) 242 Cal.App.4th 894, 909 (*Dole*) (internal quotation and citation omitted)), the Court of Appeal has opined that, "The ultimate determinant of good faith is whether the settlement is grossly disproportionate to what a reasonable person at the time of settlement would estimate the settlor's liability to be." (*City of Grand Terrace v. Superior Ct.* (1987) 192 Cal.App.3d 1251, 1262 (*City*) (citation omitted).) "The determination as to whether a settlement is in good faith is a matter left to the discretion of the trial court" (*Dole, supra*, 242 Cal.App.4th 894, 909 (internal citations omitted)).

Further, "where as here a written agreement does exist and the settlors want judicial confirmation that their settlement is in good faith, the settling parties *must* produce the agreement for the nonsettling party who opposes the motion." (*Mediplex of California, Inc. v. Superior Ct.* (1995) 34 Cal.App.4th 748, 754 (*Mediplex*) (emphasis added).) "The nonsettling defendant must be given an opportunity to determine independently whether the undisclosed terms arguably have an effect on reducing the offset" (*Mediplex, supra*, 34 Cal.App.4th 748, 749), and "a party may not both seek confirmation of a settlement agreement and withhold it from nonsettling defendants on the grounds of confidentiality" (*Mediplex, supra*, 34 Cal.App.4th 748, 752 (quotation and citation omitted)).

Relevantly for this particular motion, "the determination whether the settlement was in good faith must be based on competent, admissible evidence." (*Brehm Communities v. Superior Court* (2001) 88 Cal.App.4th 730, 736 (*Brehm*)). While the party asserting a lack of good faith bears the burden of proving bad faith, an application must be denied if the applicant fails to "present competent evidence" of the relevant facts necessary for consideration of the most pertinent *Tech-Bilt* factors. (*Id.*, at p. 733.)

B. Insufficient Information Provided to Determine Good Faith

The very first *Tech-Bilt* factor is "a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability." (*Tech-Bilt, supra*, at p. 499.) Chu presents no evidence whatsoever of any approximation of Alvarez-Lynch's total recovery in this case (see *Brehm, supra*, at p. 735 ["matters set forth in memoranda of points and authorities are not evidence"]), but GOI presents evidence that Alvarez-Lynch herself values her case at more than one million dollars in total. (May 18, 2026 Declaration of G. Michael Brown, ¶ 7.)

Alvarez-Lynch's operative pleading, the First Amended Complaint, is somewhat vague as to the manner and cause of the alleged motor vehicle accident causing her unspecified injuries, such that the degree to which the accident was caused by negligent driving versus the absence of "speed bumps, speed humps/pillows, or any signs ... [or] paint, crosswalks, signs, beacons, or lights on the roadway" is not

evident. (Jan. 30, 2026 First Amended Complaint, ¶ 34.) Even between those defendants allegedly liable for the premises on which the accident occurred (rather than for the operation and provision of the car that struck her), Alvarez-Lynch alleges that three separate defendants are each fully liable for all kinds of omissions. (*Id.*, at ¶¶ 31–41.)

Thus, to assess Chu’s proportionate liability—one of the most important *Tech-Bilt* factors—there must be some evidence as to its potential share of liability as compared to the other four defendants (not including the ninety-five other, fictitiously named defendants as well). Chu argues that the accident occurred in the parking lot in front of the building in which Chu operates its business and it is not responsible for maintaining the accident site. However, as mentioned above, argument is not evidence. The only evidence provided is Chu’s agent’s *answer* at a deposition (the full question has been omitted) stating that Chu “run[s] the daily operations of the store inside the building” and that “GOI has no control over that.” (Jun. 18, 2026 Reply, exh. A.) Setting aside the fact that this evidence is not presented in compliance with rule 3.1116 of the California Rules of Court—deposition testimony presented as an exhibit must include a title page and the relevant testimony must be highlighted—the fact that Chu operates the inside of the store does nothing to establish that it is not responsible for any alleged omissions outside the store.

Therefore, there is insufficient evidence to assess the first *Tech-Bilt* factor, let alone whether the amount paid in settlement is proportional to the share of liability and equitable to Chu’s codefendants. As stated above, while the party objecting to the application has the burden of demonstrating bad faith—that the settlement is ‘not in the ballpark’—there must be *some* evidence establishing where the ballpark *is*. While a rough approximation is all that is needed, a court must make an “*educated guess*.” (*North County Contractor’s Assn. v. Touchstone Ins. Services* (1994) 27 Cal.App.4th 1085, 1095 [*italics added*].) “Without the facts, in a contested hearing, it is impossible for a court to exercise its discretion in an appropriate fashion.” (*City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1263.)

Accordingly, the application is denied without prejudice to a renewed motion or application, thereby also allowing GOI to conduct discovery as it requested. (See *City of Grand Terrace, supra*, at p. 1265.)

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court’s signature a written order consistent with the Court’s ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part “prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling” (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.

09:00 AM

24-CIV-00269

HAMID KHAZAELI VS. DAVID A BREWER, ET AL.

LINE 4

HAMID KHAZAELI
DAVID A. BREWER

PRO PER
JOHN S. CLAASSEN

PLAINTIFF HAMID KHAZAELI'S MOTION TO COMPEL

TENTATIVE RULING:

Plaintiff Hamid Khazaeli's unopposed Motion to Compel Further Responses to Plaintiff's Form Interrogatories Employment Law, Set No. One from David A. Brewer, Former NT Corporation, Notify Technology Corporation, Paul F. Depond, Robert Polychron (collectively "Defendants") filed October 20, 2025, 2025, is DENIED. Plaintiff's request for sanctions is DENIED.

A. Background

The underlying action for FEHA-based discrimination and retaliation arises from plaintiff's former employment with Notify Technology Corporation from 2006 to 2012 as enterprise sales manager. (FAC ¶9.) The named defendants include three individual non-employers who testified for the defense at a 2020 in one of plaintiff's former lawsuits regarding his employment tenure. (FAC ¶ 15.) Plaintiff seeks damages in excess of \$60,000,000. (FAC ¶31.) Because this matter has an extensive procedural history of which the parties are well-versed the Court does not repeat it here.

The instant motion, filed October 20, 2025, seeks to compel further responses to Plaintiff's Form Interrogatories Employment Law, Set No. One,

- No. 211.1 from NTC,
- Nos. 200.1-200.4, 201.1- 201.7, 206.2-206.3, 207.2, 208.1, 211.2, 211.3, 214.1, 215.1, 215.2, 216.1 from all Defendants;

and challenges the validity of DocuSign electronic signatures from Defendants. Plaintiff also seeks a privilege log.

Plaintiff contends that the responses provided are ambiguous, evasive, incomplete, vague and contain meritless objections. Plaintiff requests sanctions of judgment against each of BREWER, FNTC, NTC, DEPOND, POLYCHRON, Attorney Claassen, and Claassen Law Corporation plus \$1,000 on each of BREWER, FNTC, NTC, DEPOND, POLYCHRON, Attorney Claassen, and Claassen Law Corporation plus the costs and fees of \$1,000 under Code of Civil Procedure sections 2023.030, 2023.040, 2023.050. The motion is unopposed.

B. Legal Standard

"[T]he discovery statutes vest a wide discretion on the trial court in granting or denying discovery." (*Greyhound Corp. v. Superior Court In and For Merced County* (1961) 56 Cal.2d 355, 378 [superseded by statute].) " 'The standard of review generally applicable to review of discovery orders is abuse of discretion, as management of discovery lies within the sound discretion of the trial court. [Citations.]'